

Before the Federal Maritime Commission, Washington, DC.

Docket No. 25-08

FormuKleen, Inc.

(Complainant)

vs.

Top Shipping Systems, Corp.

(Respondent)

COMPLAINANT’S OPENING BRIEF

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1. INTRODUCTION AND PREJUDICE CAUSED BY TSS'S NONCOMPLIANCE

FormuKleen files this merits brief without the evidence that TSS was twice ordered to produce on the central disputed liability issue. This case turns on whether Top Shipping Systems, Corp. ("TSS") acted as a non-vessel-operating common carrier ("NVOCC") and assumed responsibility for containers CHSU4047424 and BSIU8431017. The underlying conduct is admitted. TSS disputes only the legal capacity in which it performed that conduct.

TSS admits that it arranged the drayage, directed the truckers, paid transportation-related charges, took possession or control of the cargo, moved CHSU to its trucking partner's yard, moved BSIU to its warehouse, and conditioned release on previously accrued debts. Entry No. 8 at 1, 3-7; Entry No. 31 at 4-6; Entry No. 32 at 1-7. The Presiding Officer has likewise stated that NVOCC capacity is the decisive liability issue and that, if TSS acted in that capacity, Commission law prohibits the hold. Mar. 19, 2026 Status Conf. at 4:15-5:12 (CX-0115); June 4, 2026 Status Conf. at 1:46-5:20 (CX-0118).

The discovery ordered in this case went directly to that issue. Entry No. 63 compelled production in response to Requests for Production Nos. 4 and 7 and Interrogatory No. 1 because TSS's third-party communications, payment of transportation charges, historical dealings, and identification of the persons involved were relevant to the fact-intensive NVOCC inquiry. Entry No. 63 at 10-13. Entry No. 90 later narrowed the production to the two subject containers but again ordered TSS to produce all third-party communications concerning those shipments. Entry No. 90 at 2-3.

The ordered evidence remains missing in the places that matter most. What TSS did produce proves the rest exists. On April 9, 2025, six days before pickup and a day before freight release, Del Monte wrote to SeaBlue under the subject line “DELIV ORDER- SFCT/ TSS WHSE/ IMP37682-01”: “This container has storage and is pending the freight release. Once the container is freight released I will make payment to SFFCT and let you know so you can make appt and pull. Hoping it will be tomorrow or Friday. This will be a pre-pull and hold for 1-2 days then deliv to TSS Whse.” CX-0194. That single email shows TSS paying the terminal, controlling the appointment, ordering the hold, and naming its own facility as the destination, in writing, to the performing carrier, TSS’s agent, before the container moved.

No counterpart was produced for CHSU4047424. TSS produced no communication changing CHSU’s destination from FormuKleen’s warehouse to the trucker’s yard where it was held, no instruction directing that it be held there, and no instruction releasing it nineteen days later. It produced no complete communications with Dolphin Logistics, DHY, SeaBlue, Thunder, the terminals, or the warehouse, and no complete records showing the transportation charges it paid and passed through. The BSIU transmittal establishes that TSS creates such records in the ordinary course. Their absence for CHSU is not an indication that no instruction was given.

TSS’s witnesses confirmed that those communications should exist. Eddy Del Monte testified that TSS generated the delivery orders, that every container required one, and that all delivery instructions were sent to the trucker by email. Del Monte Dep. 28:1-19, 38:23-39:7, 48:1-14 (CX-0127, CX-0130 to CX-0131, CX-0132). He testified that he gave pickup authority, sent delivery instructions, and communicated by email with DHY, Dolphin, SeaBlue, and TSS’s

warehouse. Id. 63:1-19, 73:1-75:25, 80:15-25 (CX-0134 to CX-0138). Ricky Villena testified for TSS that changes to shipment instructions and delivery orders were normally handled by email and that responsive emails should exist. Villena Dep. 34:1-35:6 (CX-0144 to CX-0145). Asked who revised the delivery order for the two subject containers, Villena said he would have to go back to the emails to see who, then said he remembered a verbal conversation, then said he did not recall. He confirmed that it was TSS. Id. 67:1-7 (CX-0153). The April 9 email to SeaBlue is that record. At the June 4 conference, the Presiding Officer observed that TSS's admitted trucking and redirection of the containers meant that at least some communications had to exist. June 4, 2026 Status Conf. at 35:36-36:36 (CX-0120 to CX-0121). TSS acknowledged communications with truckers and offered another targeted search "just in case we miss anything." Id. at 39:08-39:41 (CX-0122).

The resulting prejudice is direct. The missing communications would show who instructed the performing carriers, TSS's relationship with them, who selected and changed the destinations, who accepted responsibility to the carriers, how TSS received the carrier documents, and how TSS described its role to the entities that physically moved the cargo. Those facts bear directly on whether TSS "assume[d] responsibility for the transportation from the port or point of receipt to the port or point of destination." 46 U.S.C. § 40102(7)(A)(ii). Entry No. 102 acknowledged that assumption of responsibility remained the dispositive question, but denied enforcement after quoting the statute as "port or point of origin" instead of "port or point of receipt." Entry No. 102 at 5. The August 18, 2026 Order subsequently acknowledged that the Presiding Officer had "inadvertently mis-quoted the statute." Aug. 18, 2026 Order at 2 n.1. The difference is material because the record proves TSS's responsibility from the point at which it

obtained pickup authority and control through destination, regardless of which intermediary booked the ocean leg.

Rule 502.150(b) supplies the remedy. The Commission may deem designated facts established and prohibit a disobedient party from supporting defenses that the withheld evidence would test. 46 C.F.R. § 502.150(b)(1)-(2). Complainant has requested relief under Rule 502.150(b) more than once. No order has addressed that request on its merits. FormuKleen requests that the Commission find established that TSS directed and assumed responsibility for the transportation from pickup authority through destination and preclude TSS from relying on the absence of the communications and payment records it was ordered to produce. At minimum, no inference should be drawn against FormuKleen from evidentiary gaps created by TSS's nonproduction and the lack of enforcement of two standing production orders.

2. STATEMENT OF FACTS: TSS ADMITTED THE CONDUCT THROUGHOUT THIS PROCEEDING

A. TSS's admissions in its pleadings and filed papers

TSS has repeatedly admitted the operational acts proving assumption of responsibility and the conduct constituting the unlawful holds.

1. **Verified Answer.** TSS admitted that it performed drayage, customs brokerage, and warehousing for both shipments. Entry No. 8 at 1, 4. It admitted that CHSU was pulled and held at its trucking partner's yard until February 25 because of unpaid balances. *Id.* at 5. It admitted that it paid BSIU's port-storage charges, transferred BSIU to its warehouse, imposed storage

charges, and prescribed the conditions for retrieving the goods. Id. at 6. It further admitted that the cargo was redirected to TSS's warehouse solely because of alleged nonpayment and was retained because of the account dispute. Id. at 3-4.

2. Opposition to summary judgment. TSS acknowledged that it physically received, handled, stored, and temporarily held both containers. Entry No. 31 at 4. It admitted that CHSU remained at its trucking partner's yard because of past-due balances, that it paid port storage and transferred BSIU to its warehouse, and that it withheld delivery to secure obligations related and unrelated to the subject shipments. Id. at 4-5. TSS expressly stated that it did not dispute that release was contingent on payment of invoices for unrelated shipments. Id. at 5. It described the post-arrival transportation and storage as "arranged by TSS." Id. at 6.

3. Response to FormuKleen's statement of facts. TSS admitted that, pursuant to its instructions, the trucker pulled CHSU and held it until payment was received. Entry No. 32 at 1-3. It admitted that BSIU was brought to TSS's warehouse and released only after further account payments. Id. at 3, 5-7. TSS also admitted that it withheld cargo for prior shipments, initially refused release on demand because of related and other invoices, and directed BSIU to its warehouse, where the goods would be released only after the account was current. Id.

4. TSS's own statement of facts. TSS called itself the "coordinator of drayage/local cartage from the port." Entry No. 33, paragraph 1. It admitted that BSIU was delivered directly to its warehouse. Id., paragraph 6. It invoked contractual language claiming a lien on goods in TSS's "possession, custody, or control" for transportation and other charges under prior invoices. Id., paragraph 8.

5. **TSS's discovery filing.** TSS admitted that it participated in approximately fifty-four FormuKleen shipments and served as notify party, customs broker, drayage coordinator, warehouse provider, cargo-release agent, storage provider, and, on approximately seven shipments, destination agent. Entry No. 86 at 2. These are TSS's descriptions of its recurring transportation functions.

6. **Status conferences.** TSS stated that "we're not denying that we're an NVOCC," while disclaiming NVOCC status for the subject shipments and admitting that it performed customs brokerage and drayage. Mar. 19, 2026 Status Conf. at 28:54-29:22 (CX-0116). At the June 4 conference, TSS admitted that it facilitated trucking and had the containers pulled to another warehouse. June 4, 2026 Status Conf. at 35:31-36:36 (CX-0119 to CX-0121). It later offered to provide evidence of "trucking that was done." Id. at 48:43-49:22 (CX-0123). TSS's legal disclaimer does not alter the admitted conduct.

7. **Summary-judgment ruling.** The Presiding Officer summarized TSS's admissions as assisting with customs clearance, arranging inland transportation, coordinating movement between the vessel and destination, making payments on FormuKleen's behalf, and exercising control over the containers. Entry No. 40 at 6-7. The ruling recognized that these are NVOCC services. Id. Discovery then produced TSS's tariff, delivery orders, carrier-issued consignee and consignor bills of lading, and sworn testimony establishing who controlled the movement.

B. TSS's sworn witnesses admitted that TSS controlled the transportation and the holds

Del Monte was the TSS import coordinator assigned to FormuKleen. He admitted the following:

- TSS had authority to give truckers pickup authority, delivery instructions, and destinations, and could change a destination. Del Monte Dep. 12:8-19 (CX-0125).
- TSS generated the delivery order after arrival and customs clearance. Id. 28:1-19 (CX-0127). Del Monte explained that TSS did not receive the operative delivery instructions from the trucker: “we created and we told them where to go.” Id. 31:6-10 (CX-0128). He was the person creating the delivery instructions, and the trucker relied on TSS for correct information. Id. 32:1-8 (CX-0129).
- Every delivery instruction was sent by email. Id. 48:1-14 (CX-0132). For BSIU, Del Monte gave pickup authority, sent the delivery order, and admitted that the trucker followed his instructions. Id. 62:7-63:19 (CX-0133 to CX-0134).
- TSS paid charges on FormuKleen’s behalf and then invoiced FormuKleen. Id. 26:6-25 (CX-0126). Its subject invoices billed delivery, chassis, pre-pull, security, handling, and other transportation services. Invoice Nos. 81824 and 85292 (CX-0183 to CX-0184).
- Del Monte communicated with DHY, Dolphin, SeaBlue, and the warehouse concerning the subject containers. Del Monte Dep. 73:1-75:25, 80:15-25 (CX-0135 to CX-0138). Dolphin sent TSS the arrival notice, charges, availability, and shipment updates. Id. 74:18-75:25 (CX-0136 to CX-0137).
- TSS placed both containers on hold, and management made the hold decision. Id. 94:8-95:18 (CX-0139 to CX-0140).

Villena’s Rule 502.143(b)(6) testimony binds TSS and confirms the same operating chain:

- TSS's position is that it performed customs brokerage, inland trucking, and warehousing for each shipment. Villena Dep. 45:13-21 (CX-0147).
- TSS coordinated with the exporter, filed the ISF, cleared the shipments, removed the containers from the port, placed them into storage, and ultimately delivered them. Id. 49:17-21 (CX-0148).
- TSS and Del Monte acted with DHY and Dolphin to obtain release information and coordinate pickup for local delivery. Id. 63:19-25 (CX-0152).
- TSS directed where the trucker delivered both containers and provided the delivery instructions or delivery orders. Id. 71:1-72:13, 76:24-77:6 (CX-0154 to CX-0157).
- TSS removed CHSU from the port and placed it at the trucker's yard pending resolution of the payment dispute for unrelated containers. Id. 55:1-10, 60:13-17 (CX-0149, CX-0151). TSS would not authorize removal until the account issue was resolved. Id. 56:8-20 (CX-0150).
- TSS placed BSIU in its warehouse, inventoried the goods, and restricted release pending payment. Id. 67:6-21 (CX-0153).
- Villena participated in the decision not to release cargo until the account dispute was resolved. Id. 20:17-21:9, 44:12-45:12 (CX-0142 to CX-0143, CX-0146 to CX-0147).

C. TSS's contemporaneous records confirm the admissions

TSS's written instructions establish an account-wide collection policy. Before CHSU arrived and before TSS issued the CHSU invoice, management instructed that FormuKleen's account and arriving container were on hold and that orders would not be released until additional payments were received. CX-0170. TSS then used both containers to implement that instruction.

For CHSU, TSS directed the trucker to pull the container and keep it at the trucker's yard instead of delivering it to FormuKleen. Entry No. 32 at 1-3. For BSIU, TSS informed FormuKleen that accounting had directed the container to TSS's warehouse and that the goods would be released only when the account was current. CX-0165. TSS then declared the account on hold, suspended service, revoked credit, stopped advancing duties, and demanded that FormuKleen relocate its freight after payment. CX-0172 to CX-0173.

TSS described the practice in its own words while it was underway. On February 11, Villena wrote that "all past dues over 60, 70, 90 + days must be paid to ensure a continued smooth flow without interruptions of service." CX-0195. On February 27 he confirmed the sequence: "there was a hold place (suspension of service) on the account due to credit terms... Once the account was updated, suspension of service was removed and container delivered." CX-0196. The hold was on the account. The release followed the payment.

While CHSU sat at TSS's carrier's yard, neither FormuKleen nor the destination agent could locate it. On February 18, Dolphin Logistics wrote directly to SeaBlue: "CHSU4047424 is my cnee's container but was shown picked up by your company, please let me know where this

container is currently located... If you do not return the container, my client will call the police.” CX-0197. That same day Villena told the supplier and Dolphin only that FormuKleen “should be receiving the container this week.” CX-0198. TSS’s Verified Answer admits the container was pulled and held at its trucking partner’s yard. Entry No. 8 at 5.

The subject invoices were not delinquent when the holds were imposed. Invoice 81824 was dated January 30, carried Net 60 terms, and was due March 31. CX-0183. TSS placed the account and arriving container on hold before issuing that invoice and released CHSU on February 25, before the invoice became due. Invoice 85292 was dated March 31, carried Net 30 terms, and was due April 30. CX-0184. TSS placed BSIU in its warehouse and conditioned release on the broader account before that invoice became due. TSS’s own records therefore confirm that it used the subject cargo to collect other obligations.

D. The performing carriers’ bills of lading identify TSS as a party to the transportation

The motor carriers did not identify TSS as a bystander. Thunder Container Transport’s bill of lading and pickup-and-delivery order for CHSU identifies Top Shipping as consignee. CX-0176. SeaBlue’s bill of lading and pickup-and-delivery order for BSIU identifies Top Shipping as consignee on the port pickup. CX-0179. Thunder’s subsequent bills of lading for that same container identify Top Shipping as consignor. CX-0180 to CX-0181.

The BSIU sequence is direct documentary proof of control. SeaBlue identified TSS as consignee. TSS received the container and caused it to be placed in its warehouse. Thunder then identified TSS as consignor when TSS tendered the cargo for onward transportation. The carrier documents correspond with Del Monte’s testimony that TSS issued pickup authority and

delivery instructions, paid the carriers, and billed FormuKleen. They place TSS in the receiving and tendering positions in the transportation transaction itself.

The consignee and consignor designations on the performing carriers' bills corroborate TSS's admitted role in directing and controlling the movements and support the conclusion that TSS assumed responsibility for the containers.

The transmittals carrying those bills to TSS, and the instructions that preceded them, would show who supplied the party designations and precisely how TSS received, stored, and tendered the cargo. TSS was ordered to produce that correspondence twice and did not.

E. TSS coordinated the shipments before arrival and through delivery

The record also refutes TSS's attempt to characterize its undertaking as an isolated post-arrival warehouse service. For CHSU, TSS communicated with FormuKleen's supplier in China, brought its import and ISF departments into the shipment, filed the ISF, followed the telex release, and monitored vessel availability before arrival. CX-0159 to CX-0161. For BSIU, Del Monte followed the freight release, advised when the vessel arrived, identified the last free day, and coordinated the container's release and pickup. CX-0163 to CX-0168.

TSS's instructions to its carrier were operational and specific. On April 15 Del Monte told SeaBlue the empty was ready and to "give this one priority over the one at Stock Cargo," directing the return to Tropical Shipping in Medley per the ocean carrier's published instructions. CX-0199. SeaBlue's dispatcher, replying, referred to the container as "the one at your warehouse." CX-0200. Earlier, TSS dealt directly with the marine terminal to update the last free

day. CX-0201. It asked DHY whether an original bill of lading would be required and later requested a copy of the house bill “for my file so I can close it.” CX-0202. It paid Dolphin’s arrival-notice invoice and handled the telex release, and FormuKleen forwarded Dolphin’s arrival notice to Del Monte because “it looks like they did not copy you.” CX-0203.

The destination agent confirmed the division of roles contemporaneously. When FormuKleen asked DHY where BSIU was on April 15, DHY answered that the container had outgated at South Florida Container Terminal and that, “[s]ince DHY is not arranging the trucking,” FormuKleen should “check with your trucking company and provide the EIR.” CX-0204. FormuKleen had engaged no trucker. TSS had.

The combined evidence is controlling. TSS monitored the inbound movement, collaborated and coordinated with the exporter and other OTIs in the chain, obtained release information, filed the ISF, paid port and terminals charges, issued the delivery orders, created and issued shipping documents, assisted with clearing the shipments in accordance with U.S. government regulations, selected and changed delivery destinations, hired and directed the truckers, received and stored the cargo, controlled release, and billed FormuKleen for the resulting transportation. That is assumption of responsibility in fact.

ARGUMENT

3. TSS ACTED AS AN NVOCC FOR THE SUBJECT TRANSPORTATION

The disputed statutory question is whether TSS “assume[d] responsibility for the transportation from the port or point of receipt to the port or point of destination.” 46 U.S.C. § 40102(7)(A)(ii). The statute does not require TSS to have originated the transportation, booked the ocean carriage, or issued the ocean house bill. It requires responsibility from the point of receipt forward.

That is what the record establishes. TSS obtained pickup authority, issued the delivery orders, selected and changed destinations, directed the performing truckers, paid transportation charges, received and stored the cargo, controlled its release, and decided when delivery would resume. Those acts establish the transportation undertaking that matters under § 40102(7)(A)(ii). The Commission determines an entity’s status from the transportation actually undertaken, not from the label a party assigns itself. See *Worldwide Relocations, Inc.*, Docket No. 06-01, 2012 WL 11914713, at *5-8 (FMC Mar. 15, 2012).

A. TSS held itself out as a common carrier

TSS’s contemporaneous tariff resolves this element. Tariff No. 022839-001, effective July 24, 2020 with no expiration date, identifies TSS as an FMC-licensed “OTI Freight Forwarder and NVOCC,” calls TSS the “Carrier,” offers service between the United States and world ports and points, provides through intermodal service by motor and rail, and offers door service to a consignee’s designated facility. CX-0186 to CX-0189. The tariff provides that TSS

may arrange inland transportation, select motor carriers, assess through rates, receive cargo through its agents, and exercise control over cargo in transportation. Id.

TSS also admits that it is licensed and does not deny that it generally operates as an NVOCC. Entry No. 8, paragraph 2; Mar. 19, 2026 Status Conf. at 28:54-29:22 (CX-0116). Its recurring course of dealing with FormuKleen included approximately fifty-four shipments in roles TSS described as drayage coordinator, cargo-release agent, warehouse provider, and destination agent. Entry No. 86 at 2.

TSS also held itself out as FormuKleen's forwarder (OTI) in practice, and was recognized as such by the parties on both ends of the transaction. In February 2022, FormuKleen sent Villena its China shipment particulars and requested a quote. CX-0205. It then copied TSS into its correspondence with its supplier, identifying TSS as "our freight forwarder" and directing that booking details go to Villena: "PLEASE REPLY ALL HERE AS RICKY VILLENA WILL NEED THE EXACT DETAILS IN ORDER TO BOOK THE SHIPMENTS ASAP." CX-0206. The supplier replied in the same chain, with Villena as a direct addressee, confirming that it had "updated the packing list to your forwarder." CX-0207. When the supplier later attempted to cancel a booking, FormuKleen reported that it had "received word from our freight forwarder" of the cancellation, TSS having dealt with the carrier on the booking. CX-0207.¹

¹ "Freight forwarder" is used colloquially throughout the shipping industry to refer generally to the company handling or arranging a shipper's freight, or managing their logistics, including NVOCCs. The relevant statutory capacity is determined by what TSS actually undertook and performed with respect to the transportation. See *Worldwide Relocations, Inc.*, Dkt. No. 06-01, 2012 WL 11914713, at *5 (FMC Mar. 15, 2012).

TSS's current website corroborates the tariff. It advertises freight forwarding that manages "every link" from ocean freight through ground transportation and offers "end-to-end service from pickup to final delivery." It separately advertises ocean transportation, FCL and LCL service, global-port coordination, documentation and customs support, port drayage, container movement, and delivery "from ports to final destination." CX-0191 to CX-0193. The tariff is the contemporaneous holding-out evidence. The website confirms that these services are part of TSS's public transportation offering.

B. TSS assumed responsibility from the statutory point of receipt to destination

The second element asks what TSS undertook and controlled. TSS generated the documents required to move each container, gave pickup authority, selected and changed delivery locations, directed delivery to facilities under its control, paid transportation charges, accepted the downstream carrier obligation, received and stored the cargo, controlled access, and decided when delivery would resume. The performing carriers identified TSS as consignee and later consignor. No single label controls. The full operating chain does.

The evidence is at least as strong as the evidence found sufficient in *TPG Pressure, Inc. v. Omni Logistics LLC & Epic Freight Solutions LLC*. There, Epic's tariff and public representations, quotations, control of delivery, payment of third-party providers, and appearance as consignee, notify party, or delivery contact on carrier documents established its NVOCC undertaking. Docket No. 22-31, Initial Decision at 29-31 (ALJ Sept. 12, 2024) (Commission review pending). Here, the performing truckers' own bills place TSS in the consignee-to-

consignor chain, while TSS's delivery orders, payments, admissions, and sworn testimony establish actual control.

TSS did not need to book the ocean leg or issue the ocean house bill to assume responsibility for the transportation it undertook from receipt to destination. Neither act appears in Section 40102(7)(A)(ii). The presence of TopSeaLand, Qichen, Dolphin, or DHY elsewhere in the transportation chain does not erase TSS's own undertaking. The question is whether TSS assumed responsibility for the transportation it received and controlled. Its own record answers yes.

C. The vessel element is satisfied

Both containers moved from China to the United States on ocean vessels. That satisfies Section 40102(7)(A)(iii). An NVOCC necessarily does not operate the vessels by which ocean transportation is provided. *Id.* § 40102(17)(B). The statutory question is whether a vessel was used for all or part of the transportation, not whether TSS booked or operated it. *Augst v. Transparent Logistics LLC* applied the element directly: "As for the third element, use of a vessel from a foreign port to a U.S. port, it is also satisfied. The piano was transported on a vessel." Docket No. 2028(I), 2026 WL 657092, at *16 (ALJ Feb. 27, 2026), administratively final Mar. 31, 2026. The same is true here.

D. If TSS Did Not Assume Responsibility for the Transportation, Who Did?

If TSS did not assume responsibility for the transportation of these containers at the point of receipt, then who did?

Who authorized TSS to hire and control its agent truckers? Why did TSS create the delivery orders and not another party? Who instructed TSS to tell the truckers where to take the containers? Who instructed TSS to change those destinations? Who instructed TSS to send CHSU4047424 to its trucking partner's yard and hold the container there indefinitely instead of taking it to FormuKleen? Who instructed TSS to divert BSIU8431017 to its own warehouse? Who granted TSS permission to withhold both containers over an account dispute? And who granted permission to TSS to decide when they would finally be released?

If another entity actually held responsibility for the transportation from the point of receipt, there should be a record of TSS obtaining that entity's instruction and permission to do those things. Where are those communications? Where are the emails where TSS was granted authority by the responsible party to manage and redirect the containers, hold them, warehouse them, condition release on payment, or resume delivery? TSS has produced none.

If TSS did not assume that responsibility, it should be able to identify who did and show the authority under which TSS acted.

4. TSS VIOLATED THE SHIPPING ACT

A. TSS's written and repeated cargo-hold practice violated Section 41102(c)

Section 41102(c) requires an OTI to establish, observe, and enforce just and reasonable practices related to receiving, handling, storing, or delivering property. Each element is proven.

First, TSS acted as an NVOCC. Second, the challenged practice directly concerned receiving, handling, storing, and delivering the two containers. Third, withholding current cargo

to coerce payment of debts from other shipments is unreasonable under settled Commission law. *Way Interglobal Network, LLC v. Shenzhen Unifelix SCM Ltd.*, Docket No. 22-28, Initial Decision, 8 F.M.C.2d 289, 291-92 (ALJ Apr. 19, 2024), Commission review pending; *Adenariwo v. BDP International*, Docket No. 1921(I), 2014 WL 13110647, at *1 (FMC Feb. 20, 2014); *Petra Pet, Inc. v. Panda Logistics Ltd.*, Docket No. 11-14, 2013 WL 9808694, at *6-8 (FMC Oct. 31, 2013); *Bimsha International v. Chief Cargo Services, Inc.*, Docket No. 10-08, 2013 WL 9808692, at *5 (FMC Sept. 4, 2013), *aff'd*, 586 F. App'x 730 (2d Cir. 2014).

TPG Pressure is directly on point. The NVOCC there argued that overdue accounts and a general lien justified withholding other containers. The decision rejected the defense because transportation cannot be interrupted and cargo held to coerce payment of debt from other shipments, payment under protest does not make the practice reasonable, and parties cannot contract around the Shipping Act through a general lien. Initial Decision at 34-37. TSS used the same practice and asserts the same defense.

Fourth, the practice was normal, customary, and continuous. TSS placed the asserted lien and cargo-control practice in written terms, instructed internally that the account and orders were on hold until further payment, applied the practice to two containers separated by months, defended it in its Verified Answer, and admitted an extensive course of dealing. CX-0170; Entry No. 8 at 4-7; Entry No. 86 at 2. *TPG Pressure* held that placing the coercive practice in written tariff and contractual terms was independently sufficient to establish a normal, customary, and continuous practice. Initial Decision at 44.

Fifth, the practice caused actual injury. CHSU was unavailable to FormuKleen until February 25. BSIU was stripped into TSS's warehouse by April 15 and the goods remained unavailable until June 25. CX-0165, CX-0199; Entry No. 8 at 5-6. The resulting injury is quantified in Section 6 below.

B. TSS continued the challenged cargo detention after FormuKleen filed this proceeding, in violation of Section 41102(d)

Section 41102(d) prohibits an ocean transportation intermediary from resorting to an unfair or unjustly discriminatory action because a shipper filed a complaint. 46 U.S.C. § 41102(d)(2). The Commission applies four elements: the respondent is a regulated carrier or OTI; the claimant is within the protected class; the claimant engaged in protected activity; and the respondent engaged in prohibited conduct because of that protected activity. *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, Docket No. 21-11, 2024 WL 4034610 (FMC Aug. 27, 2024), appeal pending, *aff'g* 6 F.M.C.2d 165, 189-91 (ALJ June 7, 2023). The Commission interprets Section 41102(d) broadly so that shippers may bring allegedly unlawful shipping conduct to the Commission without fear of retaliation. *Statement of the Commission on Retaliation*, Docket No. 21-15, 3 F.M.C.2d 201, 207 (FMC Dec. 28, 2021).

The chronology establishes the claim. FormuKleen filed this proceeding on June 9, 2025. The Commission served the Complaint on TSS on June 17. At that time, TSS still controlled BSIU8431017 and was conditioning release of FormuKleen's goods on payment of the broader disputed account. TSS did not release the cargo until June 25, sixteen days after FormuKleen

filed the Complaint and eight days after TSS was formally served, and TSS admits that release occurred only after further payments were made. Entry No. 8 at 6; Entry No. 32 at 3, 5-7.

The claim does not depend on treating TSS's original account-wide hold policy as retaliatory. That policy predated the Complaint. The relevant conduct is what TSS did after FormuKleen invoked the Commission's protection: after formal service of a Complaint challenging TSS's use of cargo as leverage for disputed account balances, TSS continued the same payment-conditioned detention for another eight days and released the goods only after obtaining further payments.

The subsequent record reinforces the inference. TSS filed its Verified Answer on July 8, 2025. Two days later, while FormuKleen's principal was retrieving the remaining goods, sworn declarations submitted to the Commission state that Villena asked whether she was "looking for trouble" and stated that the remaining goods were scheduled for destruction. Entry No. 10 at 1-2; Entry No. 12, Exs. A-B. Those statements followed TSS's continued post-service detention and occurred immediately after TSS formally answered the very proceeding challenging that conduct.

Taken together, the sequence is direct: Complaint filed June 9; formal service June 17; continued payment-conditioned detention through June 25; release only after further payments; Verified Answer July 8; and the July 10 statements concerning "trouble" and destruction of the remaining goods. The Commission should find that TSS resorted to unfair or unjustly discriminatory action because FormuKleen filed and pursued this proceeding, in violation of 46 U.S.C. § 41102(d).

C. TSS unreasonably refused to deal or negotiate in violation of Section 41104(a)(10)

TSS did not offer a shipment-specific resolution. It imposed a unilateral condition: FormuKleen could not receive current cargo unless it paid the broader account. TSS refused immediate delivery on demand, withheld operative delivery information, suspended services, and kept the containers under its control until further payments were made. Entry No. 31 at 4-6; Entry No. 32 at 3-7; CX-0165, CX-0172 to CX-0173.

That was a refusal to deal, not a negotiation. *Way Interglobal* Initial Decision found a Section 41104(a)(10) violation where an NVOCC refused delivery despite payment for the shipment at issue. 8 F.M.C.2d at 291-92 (Commission review pending). The conclusion is stronger here because TSS imposed each hold before its own invoice for the subject shipment was due and expressly tied release to other invoices.

D. TSS's cargo-control conduct violated Section 41104(a)(4)(E)

Section 41104(a)(4)(E) prohibits a common carrier, "for service pursuant to a tariff," from engaging in an unfair or unjustly discriminatory practice in the adjustment and settlement of claims. 46 U.S.C. § 41104(a)(4)(E). TSS did not pursue disputed receivables through an ordinary collection claim or agreed payment plan. It used the leverage supplied by its transportation role and made access to unrelated property the price of resolving the account. TSS's admissions establish the purpose: the orders would not be released without additional account payments, BSIU would remain in TSS's warehouse until the account was current, and both containers were withheld to secure obligations related and unrelated to them. Entry No. 31 at 4-5; CX-0165, CX-0170. TSS itself invokes its tariff and general-lien terms as the asserted

source of its right to control the cargo. Entry No. 33, paragraph 8; CX-0186 to CX-0189. If the Commission finds that the subject service was pursuant to that tariff framework, TSS's admitted use of cargo control to force settlement of other receivables was an unfair practice in the adjustment and settlement of claims within Section 41104(a)(4)(E).

5. TSS'S DEFENSES FAIL ON ITS OWN RECORD

TSS's defenses reduce to five propositions: that it was a customs broker or warehouseman, that the absence of an ocean house bill is dispositive, that other intermediaries performed the transportation, that a general lien authorized the holds, and that later delivery cured them. Each fails on TSS's own record.

Calling itself a customs broker or warehouseman does not negate the transportation TSS admitted performing. TSS held itself out as an NVOCC and transportation coordinator and provider, coordinated and collaborated with the exporter and other OTIs, monitored inbound cargo, filed the ISF, obtained release information, paid port and terminal charges, hired and directed truckers, generated pickup and delivery documents, appeared as consignee and consignor on carrier bills, selected and changed destinations, received and stored the cargo, controlled resumption of delivery, and billed FormuKleen for the transportation. The statutory capacity follows those acts, not TSS's litigation label.

The absence of a TSS-issued ocean house bill is not dispositive. Section 40102(7)(A)(ii) requires responsibility from the port or point of receipt to the port or point of destination. It does not require the same entity to originate the movement, book the vessel, or issue the ocean house

bill. TSS's delivery orders carry the master and house-bill identifiers and direct the performing carrier where to pick up and deliver. CX-0175, CX-0178. The performing carriers' bills then identify TSS as consignee and consignor. CX-0176, CX-0179 to CX-0181. TSS cannot reduce the record to one ocean document it did not issue while disregarding the transportation documents it created and used. The involvement of other NVOCCs and destination agents does not eliminate TSS's undertaking. Villena testified that Dolphin and DHY acted as destination or delivery agents and that TSS contacted them for release information so TSS could coordinate pickup and local delivery. Villena Dep. 63:19-25 (CX-0152). That testimony shows TSS integrating the agents' release functions into the transportation TSS controlled from terminal pickup forward.

TSS's general-lien theory is foreclosed. A lien may secure charges accruing under the shipment itself, but it cannot make reasonable the interruption of transportation to collect unrelated debt. *Adenariwo*, 2014 WL 13110647, at *1; *TPG Pressure*, Initial Decision at 34-37. The subject invoices were not due when TSS imposed the holds. CX-0183 to CX-0184. TSS's asserted lien therefore proves what its admissions already establish: it used current cargo to collect other obligations and later delivery did not cure the completed violations. A shipper's capitulation does not retroactively make the hold lawful. *TPG Pressure*, Initial Decision at 36. The violations occurred when TSS interrupted delivery, imposed unrelated payment conditions, and deprived FormuKleen of access. Later release affects duration and reparations, not liability.

6. REPARATIONS

FormuKleen seeks reparations for actual injury, commercial interest, and any additional amount the Commission finds appropriate under Section 41305(c). If FormuKleen prevails, it also preserves its right to seek attorney fees by the separate petition required by 46 C.F.R. § 502.254.

FormuKleen's damages evidence establishes \$57,734.17 in direct actual injury and \$83,092.97 in lost profit, for total actual injury of \$140,827.14. Complainant's Schedule of Actual Injury. The schedule is supported by the underlying vendor invoices and payment records, storage records, government-charge record (CX-0306), corrected chassis documentation, impacted-orders spreadsheet, customer communication documenting lost business during the detention (CX-0307), and accounting records.

The causal mechanism is direct. FormuKleen imports hospitality products to satisfy customer orders. TSS withheld containers carrying that inventory. During the periods of deprivation, FormuKleen incurred documented replacement and mitigation expenses and lost profit because affected inventory was unavailable for customer orders. Those losses constitute actual injury under Section 41305(b). Commercial interest is part of actual injury under Section 41305(a).

Section 41305(c) authorizes the Commission to award an additional amount when injury is caused by conduct prohibited by Section 41102(c), but the award is discretionary and total recovery may not exceed twice actual injury. 46 U.S.C. § 41305(c). FormuKleen's quantified actual injury is \$140,827.14. If the Commission awards the full discretionary additional amount,

the maximum potential recovery on that quantified injury is \$281,654.28. That figure is a statutory ceiling, not an automatic doubling of the actual-injury award.

FormuKleen preserves its right to file a timely petition for reasonable representative's fees under 46 U.S.C. § 41305(e) and 46 C.F.R. § 502.254(c). Rule 502.254 defines attorney fees as the fair market value of the services of any person permitted to appear and practice before the Commission under subpart B. 46 C.F.R. § 502.254(b).

7. CONCLUSION AND REQUESTED RELIEF

TSS's position ultimately leaves one question unanswered. If TSS did not assume responsibility for the transportation from the point of receipt, who did, and where is the evidence that TSS ever needed that party's instruction or permission to exercise the level of control TSS admits it exercised?

FormuKleen respectfully requests that the Commission:

1. find that TSS acted as an NVOCC with respect to containers CHSU4047424 and BSIU8431017;
2. find that TSS violated 46 U.S.C. Sections 41102(c), 41102(d), 41104(a)(4)(E), and 41104(a)(10);
3. under 46 C.F.R. § 502.150(b)(1)-(2), deem established that TSS directed and assumed responsibility for transportation from the point at which it obtained pickup authority through

destination, and preclude TSS from relying on the absence of the third-party communications and payment records it was ordered to produce;

4. award \$140,827.14 in actual injury, consisting of \$57,734.17 in direct actual injury and \$83,092.97 in lost profit, together with commercial interest as provided by 46 U.S.C. § 41305(a), and award such additional amount as the Commission finds appropriate under § 41305(c), subject to a maximum potential recovery of \$281,654.28 on the quantified actual-injury amount if the full discretionary additional amount is awarded;

5. preserve FormuKleen's right to seek reasonable representative's fees by timely petition under 46 U.S.C. § 41305(e) and 46 C.F.R. § 502.254; and

6. grant such other relief as the Commission finds just and proper.

Respectfully submitted,

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Signature:  _____

Date: 08/25/2026

CERTIFICATE OF SERVICE

I certify that on August 25, 2026, a true and correct copy of the foregoing was filed via electronic mail with the Federal Maritime Commission and the following known parties of record for the Respondent:

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